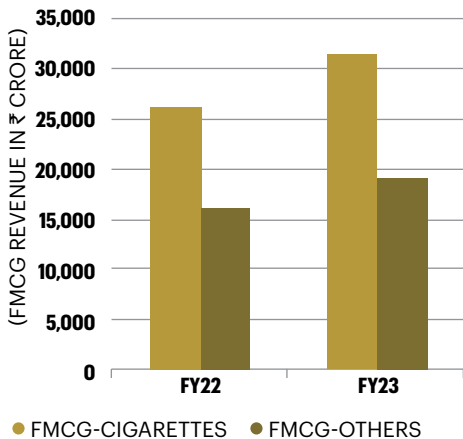
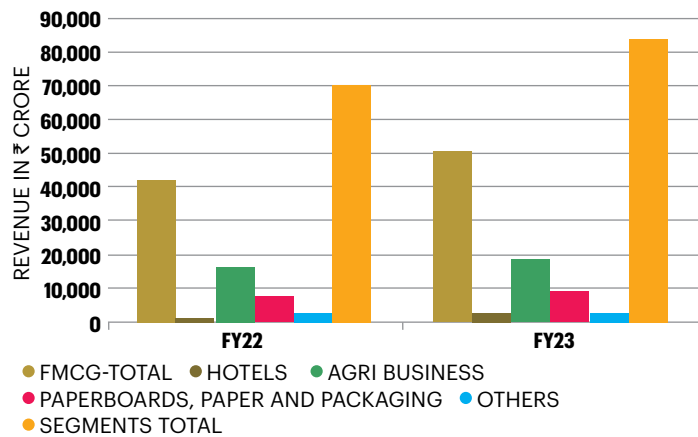


REVENUE ROSTER

► The share of other businesses, most notably FMCG, has taken off sharply



► High potential exists in paperboards and agri business at this point



Others Includes ITC Infotech **Source** ITC annual report for 2023

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for Sunrise Foods, a Kolkata-based spices maker, in May 2020. “For us, the strategic fit is important with how much headroom there is for growth. We may do it inorganically but always with an eye on valuation,” he says.

One example he picks is Nimyle, a floor cleaner brand, again through an acquisition. The rationale was the world tilting towards natural and neem-based products. “If you look at Sunrise, the category has a certain resistance to change, but we can bring in value because of our sourcing and product development synergies,” points out Puri. Since the buy-out, the market share has increased in West Bengal, and the brand now sells in Bihar, Jharkhand and the Northeast. The importance of being a good fit is again demonstrated in the acquisition of Yoga Bar (bought early last year), where the company saw an opportunity in “healthy, premium snacking.” The two most important boxes to tick on the M&A story for ITC are a combination of the right fit and value accretion.

Centrum Broking’s Pardeshi views the inorganic strategy from the past as cases of being able to turn around brands such as B Natural and Nimyle. “However, ITC’s recent investments in the fast-growing D2C space, such as Mylo, Yoga Bar and Mother Sparsh, indicate a balanced growth strategy. That means entering futuristic high-growth categories that bring in millennials.”

The one business that has gone almost unnoticed is ITC Infotech, largely because of its small contribution to the pie. Puri ran this at one point and is convinced of the potential. “We are in the upward quartile of the mid-tier and have started to invest more. With the disruption in tech coming from areas like digital, it is good for a small player since it is more tightly linked to business outcomes,” he says. The pandemic came in the way of hiring good talent, and the growth strategy is clear in his mind. “We must be an inch wide and a mile deep instead of a mile wide and an inch deep.” The business has done a few deals, though Puri emphasises that it will be around tuck-in acquisitions (the buyout of a smaller company) to strengthen capability. “We are a young company and size and scale should come from the depth of capability.”

Over the next three to four years, each business’s vision is to have industry-leading growth. “We must make appreciable progress towards leadership, where we are not leaders,” he says. Just in case one is thinking about how long this growth engine will continue at this pace, Puri is blunt, saying the question is only about identifying the pockets of opportunity. “It is clear that the best is yet to come for ITC.” That is some food for thought. **BT**

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